

Term Insurance FAQ

Detailed FAQ — Coverage, Riders & Add-ons, and Claims & Settlement

Included sections: Coverage & Benefits; Riders & Add-ons; Claims & Settlement

Source: Policybazaar, "Term Life Insurance FAQ Guide", supplied by the user. The answers below are detailed paraphrases retaining the substance and explanatory context of the source rather than shortened summaries or verbatim copies.

1. Coverage & Benefits

Q: What does term insurance cover?

A: Term insurance primarily provides financial protection against the death of the insured person during the policy term. If the insured dies while the policy is active, the insurer pays the applicable death benefit to the nominee or beneficiaries, subject to the policy terms, conditions and exclusions. Depending on the product, the death benefit may be paid as a lump sum or through another payout option selected under the policy. The base cover is designed to protect the family's financial position after the loss of the insured person's income.

Q: Does term insurance cover natural death?

A: Yes. A standard term insurance policy generally covers death due to natural causes when the policy is active and the claim satisfies the policy conditions. Natural causes can include death resulting from illness or other medical conditions, provided there is no applicable exclusion or material non-disclosure that affects the claim. The nominee must follow the insurer's claim procedure and submit the required documents for assessment.

Q: Does term insurance cover accidental death?

A: Yes. Accidental death is generally covered under the basic life cover of a term insurance policy when the insured dies during the policy term and the claim meets the policy conditions. Some plans also offer an accidental death benefit rider, which can provide an additional amount over and above the base death benefit if death results from a qualifying accident. The definition of an accident and the exclusions applicable to the rider are determined by the policy wording.

Q: Does term insurance cover death due to illness?

A: Yes. Term insurance generally covers death caused by illness as long as the policy is active and the claim is covered under its terms. The insurer may review the medical history and information provided at the time of application. Accurate disclosure of pre-existing illnesses, medical conditions, lifestyle habits and other relevant information is important because material non-disclosure can affect claim assessment.

Q: Does term insurance cover COVID-19 death?

A: The source states that most term insurance policies cover death due to COVID-19, provided the policy is active and the claim meets the applicable conditions. COVID-19 itself is generally treated as an illness rather than automatically excluded merely because it is an infectious disease. However, the actual policy wording, exclusions and applicable underwriting conditions should be checked for the specific plan.

Q: Does term insurance cover cancer-related death?

A: Cancer-related death is generally covered under term insurance when the policy is in force and the death falls within the scope of the life cover. The insurer can investigate the claim and may review medical records, particularly if cancer or related symptoms existed before the policy was purchased. If relevant medical information was not disclosed during underwriting, the claim can be subject to review under the policy's disclosure and contestability provisions.

Q: Does term insurance cover heart attack-related death?

A: Death caused by a heart attack is generally covered by a term insurance policy when the policy is active and the claim satisfies its terms. A heart attack does not normally need to be caused by an accident for the base death benefit to apply. However, medical history and disclosures can be examined during claim assessment, so applicants should provide accurate information about existing cardiac conditions and treatment when purchasing the policy.

Q: Does term insurance cover death abroad?

A: Many term insurance policies provide coverage even when the insured is travelling or residing outside India, subject to the specific policy terms and applicable conditions. The nominee may still need to provide documents such as the foreign death certificate, medical records, police or investigation documents where applicable, and certified translations or other documentation required by the insurer. Before relying on overseas coverage, policyholders should check the exact geographical and claim requirements in their policy document.

Q: Does term insurance cover suicide?

A: Suicide is subject to specific exclusions and waiting-period provisions in life-insurance policies. The source states that suicide during the first year of the policy is generally not covered in the same way as an ordinary death claim, while the applicable policy may provide a defined benefit or refund under its suicide clause. Because the exact treatment can differ by policy and regulatory rules, the suicide exclusion and benefit wording should be checked carefully in the issued policy document.

2. Riders & Add-ons

Q: What is a terminal illness benefit in term insurance?

A: A terminal illness benefit is an additional feature under which the insurer may pay an amount to the policyholder after the diagnosis of a covered terminal illness, rather than requiring the family to wait until death for the life-insurance benefit. The diagnosis normally has to meet the definition specified in the policy, including requirements relating to the expected survival period and medical certification. The amount paid and whether it is deducted from the eventual death benefit depend on the product's terms.

Q: What are term insurance riders?

A: Term insurance riders are optional benefits that can be added to the basic life-insurance policy to provide protection against specific additional risks. Common riders include accidental death benefit, critical illness, waiver of premium and disability-related benefits. A rider generally requires an additional premium and has its own definitions, exclusions, waiting periods and claim conditions. Riders can therefore extend the protection of a base policy without requiring a completely separate insurance contract for every risk.

Q: Which rider is best for term insurance?

A: There is no single rider that is appropriate for everyone. The useful rider depends on the policyholder's individual financial responsibilities, occupation, health risks, existing insurance and the specific risks that need additional protection. For example, someone with a high-risk occupation may consider accident or disability protection, while someone concerned about major medical expenses may examine a critical-illness rider. The rider's premium, covered conditions, exclusions, waiting periods and benefit amount should all be compared before selection.

Q: What is a critical illness rider?

A: A critical illness rider provides an additional benefit if the insured is diagnosed with one of the illnesses specifically listed and defined in the rider. Depending on the product, covered illnesses can include conditions such as cancer, heart attack, stroke, kidney failure or other specified major illnesses. The benefit is normally subject to a waiting period, survival period and medical definition stated in the rider. A diagnosis does not automatically qualify for payment unless it satisfies the exact contractual definition.

Q: What is an accidental death benefit rider?

A: An accidental death benefit rider provides an additional payout when the insured dies as a direct result of a qualifying accident, in addition to the death benefit available under the base term plan. The rider generally specifies what constitutes an accident and can exclude certain circumstances. The additional amount, eligibility conditions, time limits for reporting the accident and exclusions are defined in the rider. It is therefore important to read the rider wording rather than assuming every accidental death will qualify.

Q: What is a waiver of premium rider?

A: A waiver-of-premium rider is designed to keep the policy active without requiring future premium payments after a qualifying event specified in the rider, such as certain forms of permanent disability or serious illness. If the insured meets the rider's definition and claim requirements, future premiums may be waived while the underlying policy continues according to its terms. This can help prevent the life cover from lapsing at a time when the policyholder is financially affected by a serious event.

Q: What is a disability rider?

A: A disability rider provides an additional financial benefit when the insured suffers a qualifying disability caused by an accident or, depending on the product, another covered event. The rider may distinguish between total and partial disability and can define whether the disability must be permanent, temporary or result in a specified loss of function. The benefit structure can be a lump sum, periodic payment or another form specified by the policy. The exact medical and occupational definitions should be checked before purchase.

Q: Can riders be added later?

A: Whether a rider can be added after the original policy is issued depends on the insurer and the specific product. Some riders are normally selected only when the base policy is purchased, while certain products may allow additions or modifications later subject to underwriting, age limits and the insurer's approval. A policyholder should not assume that any rider can automatically be added at any time. The insurer's servicing rules and the policy terms should be checked for the available options.

Q: Are riders worth buying?

A: Riders can be useful when they provide protection against risks that are not adequately addressed by the base term policy or by other insurance already owned by the policyholder. However, a rider also increases the overall premium and may contain exclusions, waiting periods and specific claim definitions. The decision should therefore be based on the individual's needs rather than simply adding every available rider. Comparing the rider's benefit with its cost and checking for overlap with existing health, accident or disability insurance can help determine whether it is relevant.

Q: How much do riders cost?

A: The cost of a rider depends on factors such as the type of rider, amount of additional benefit, age, health, policy term, occupation and the insurer's pricing. Some riders may have relatively small additional premiums, while riders providing substantial illness or disability benefits can cost more. The final premium is determined by the insurer's underwriting and product rules. The rider premium and the conditions under which it can change should be clearly shown in the policy documentation.

Q: Can I buy multiple riders together?

A: Many term insurance products allow policyholders to select more than one rider, provided the combination is permitted by the insurer and the applicant satisfies the eligibility requirements for each rider. For example, a policy can potentially include an accidental death rider together with a critical illness or waiver-of-premium rider. However, riders may have limits on their benefit amounts and certain combinations may not be allowed. The overall cost and potential overlap between benefits should be reviewed before adding multiple riders.

3. Claims & Settlement

Q: How do I file a term insurance claim?

A: The nominee or beneficiary should notify the insurer as soon as possible after the insured's death and initiate the claim through the insurer's prescribed process. The claim generally requires a completed claim form along with the policy details, death certificate, nominee identification and other documents relevant to the circumstances of death. For accidental or unnatural deaths, additional documents such as police reports, post-mortem reports or medical records may be requested. The insurer then reviews the documents and policy conditions before deciding the claim.

Q: What documents are required for claim settlement?

A: The exact documents depend on the circumstances of the claim and the insurer's requirements. Common documents include the completed claim form, original or applicable policy documents, death certificate, nominee's identity and address proof, bank details for payment, and proof of relationship where required. In cases involving accidental, unnatural or medically complex deaths, the insurer may request hospital records, medical reports, police reports, FIRs, post-mortem reports, discharge summaries or other evidence. Providing complete documentation can help the insurer process the claim efficiently.

Q: How long does claim settlement take?

A: Claim settlement time depends on the type of claim, completeness of documentation and whether additional investigation is required. A straightforward claim with complete documents can generally be processed faster than a claim involving an accident, medical investigation, missing documents or questions about the policyholder's disclosures. The insurer follows the applicable regulatory and internal timelines for claim assessment and settlement. The nominee should therefore submit the required documents promptly and respond quickly to requests for additional information.

Q: What is claim settlement ratio?

A: Claim settlement ratio is a commonly used insurance metric that represents the proportion of claims settled by an insurer during a particular financial year relative to the claims considered in the calculation. It is often expressed as a percentage. For example, a higher percentage indicates that a larger proportion of the claims included in the insurer's reported calculation were settled during that period. However, the exact methodology and denominator used should be checked in the insurer's or regulator's published data.

Q: How important is claim settlement ratio?

A: Claim settlement ratio can be a useful indicator when comparing insurers because it provides information about their historical claim-settlement experience. However, it should not be treated as the only factor in selecting a term insurance policy. A policyholder should also examine the insurer's financial strength, policy terms, exclusions, premium, coverage options, customer service and claim process. A ratio from one financial year also does not guarantee how an individual future claim will be handled.

Q: Can a claim be rejected?

A: Yes. An insurer can reject a claim when the circumstances fall outside the policy's coverage or when applicable conditions have not been satisfied. Possible reasons include a specific policy exclusion, material non-disclosure or misrepresentation, a lapsed policy, failure to meet required conditions, or insufficient evidence supporting the claim. A rejection should be based on the applicable policy terms and the facts of the claim. If a nominee disagrees with the decision, the insurer's grievance process and applicable regulatory mechanisms can be used.

Q: What are the common reasons for claim rejection?

A: Common issues can include non-disclosure of pre-existing medical conditions, incorrect information about smoking or alcohol use, material misrepresentation in the proposal form, policy lapse due to unpaid premiums, fraudulent documentation, or circumstances specifically excluded by the policy. Claims can also require additional investigation when the death occurs under unusual circumstances or within an applicable contestability period. Accurate disclosure at the time of purchase and maintaining the policy in force are therefore important for reducing avoidable claim complications.

Q: What happens if the nominee dies before the policyholder?

A: If a nominated person dies before the policyholder, the nomination should generally be updated so that another eligible nominee can receive the benefit. The policyholder can normally submit a nomination-change request to the insurer during the policy term. If the policyholder dies without an effective nominee after the previous nominee has died, the insurer may require the legal heirs or other legally entitled persons to establish their entitlement before paying the claim. The exact procedure depends on the policy and applicable law.

Q: Who receives the claim amount if no nominee is assigned?

A: If no valid nominee is recorded, the claim amount does not simply disappear. The insurer may pay the benefit to the legally entitled heirs or another person who establishes a valid legal right to receive the proceeds. The claimant may need to submit documents such as legal-heir certificates, succession documents, court orders or other evidence requested by the insurer. Because the process can take longer when there is no nominee, maintaining a valid nomination can make claim settlement more straightforward.

Q: Can multiple nominees receive claim benefits?

A: Yes. A policyholder can generally nominate more than one person, subject to the insurer's nomination rules. The policyholder can specify the applicable shares or percentages where the product and legal framework permit this. If one nominee dies before the policyholder, the nomination should be reviewed and updated. Keeping nominee information current is important because the nominee details are used during the claim process and can help avoid unnecessary administrative or legal complications.

Important: Insurance products, exclusions, claim procedures, underwriting rules and regulatory requirements can vary by insurer and may change. For an actual purchase or claim, refer to the current policy wording and applicable official regulatory information.